XTCC™ - SOLAR

4-YEAR GBP
INVESTMENT MEMORANDUM

November 2023

INVESTMENT MEMORANDUM

SUSTAINABLE CAPITAL PLC

(incorporated with limited liability in England and Wales with registered number 12423459)

Issue of up to GBP50,000,000 2023-F6 GBP Solar Notes

due 30 November 2027 (the "Notes" or "XTCC Notes")

ISIN CH1213603926

under the £2,000,000,000 Secured Medium Term Note Programme

The Notes described in this Investment Memorandum are to be issued under the £2,000,000,000 secured medium term note programme (the "**Note Programme**") of Sustainable Capital PLC (the "**Issuer**") as described in the listing particulars dated 3 November 2023 (the "**Listing Particulars**").

An application has been made to the Bermuda Stock Exchange trading as BSX ("**BSX**") for the listing of the Notes up to an aggregate nominal amount (including any existing Issues) of £50,000,000 subject to the "Restricted Marketing" provisions of the Listing Rules of the BSX and to trading on the Open Market of the Frankfurt Stock Exchange.

The Notes constitute a Series under the Note Programme and may comprise one or more tranches (each a "**Tranche**") of Notes. Each Tranche of Notes will be issued on the terms set out herein under "Terms and Conditions of the Notes" (the "**Conditions**") as completed by the Pricing Supplement set out herein (the "**Pricing Supplement**").

This Investment Memorandum and Pricing Supplement must be read and construed together with the Listing Particulars.

IMPORTANT – EEA Retail Investors – The Notes are not intended to be offered, sold or otherwise made available to and should not be offered, sold or otherwise made available at any time to any retail investor (and, for the avoidance of doubt, this means any retail investor in the European Economic Area ("**EEA**")). For these purposes, a retail investor means a person who is one (or more) of: (i) a retail client as defined in point (11) of Article 4(1) of Directive 2014/65/EU (as amended, "**MiFID II**"); or (ii) a customer within the meaning of Directive (EU) 2016/97 (the "**Insurance Distribution Directive**"), where that customer would not qualify as a professional client as defined in point (10) of Article 4(1) of MiFID II; or (iii) not a qualified investor as defined in Regulation (EU) 2017/1129 (as amended, the "**Prospectus Regulation**"). Consequently, no key information document required by Regulation (EU) No 1286/2014 (as amended, the "**PRIIPs Regulation**") for offering or selling the Notes or otherwise making them available to retail investors in the EEA has been prepared and therefore offering or selling the Notes or otherwise making them available to any retail investor in the EEA may be unlawful under the PRIIPs Regulation.

IMPORTANT – UK Retail Investors – The Notes are not intended to be offered, sold or otherwise made available to and should not be offered, sold or otherwise made available at any time to any retail investor (and, for the avoidance of doubt, this means any retail investor in the UK). For these purposes, a retail investor means a person who is one (or more) of: (i) a retail client as defined in point (8) of Article 2 of Regulation No 2017/565 as it forms part of domestic law by virtue of the European Union (Withdrawal) Act 2018 ("**EUWA**"); or (ii) a customer within the meaning of the provisions of the Financial Services and Markets Act 2000 ("**FSMA**") and any rules or regulations made under the FSMA

to implement Directive (EU) 2016/97 (the "**Insurance Distribution Directive**"), where that customer would not qualify as a professional client, as defined in point (8) of Article 2(1) of Regulation (EU) No 600/2014 as it forms part of domestic law by virtue of the EUWA; or (iii) not a qualified investor as defined in Article 2 of Regulation (EU) 2017/1129 as it forms part of domestic law by virtue of EUWA (the "**UK Prospectus Regulation**"). Consequently, no key information document required by Regulation (EU) No 1286/2014 as it forms part of domestic law by virtue of EUWA (as amended, the "**UK PRIIPs Regulation**") for offering or selling the Notes or otherwise making them available to retail investors in the UK has been prepared and therefore offering or selling the Notes or otherwise making them available to any retail investor in the UK may be unlawful under the PRIIPs Regulation.

This Investment Memorandum contains forward-looking statements. Forward-looking statements often include words such as "anticipate", "expect", "intend", "plan", "believe", "continue" or similar words in connection with discussions of future operating or financial performance. The forward-looking statements are based on the directors' and where relevant the Issuer's current expectations and assumptions regarding commercial performance, the economy and other future conditions, circumstances and results. As with any projection or forecast, forward-looking statements are inherently susceptible to uncertainty and changes in circumstances. The actual results may vary materially from those expressed or implied in its forward-looking statements.

Investing in Notes issued under the Note Programme involves certain risks. The principal risk factors that may affect the ability of the Issuer to fulfil its respective obligations under the Notes are discussed under "Risk Factors" below and in the Listing Particulars.

30 November 2023

IMPORTANT NOTICES

Save as set out in the sections "BACKGROUND TO THE XTCC NOTES" and "DESCRIPTION OF THE OBLIGOR" below, Sustainable Capital PLC (the "**Issuer**") accepts responsibility for the information contained in this Investment Memorandum and declares that, having taken all reasonable care to ensure that such is the case, the information contained in this Investment Memorandum is, to the best of its knowledge, in accordance with the facts and contains no omission likely to affect its import.

XTCC Holdings OÜ (the "**Obligor**") accepts responsibility for the information contained in the sections "BACKGROUND TO THE XTCC NOTES" and "DESCRIPTION OF THE OBLIGOR" below and declares that, having taken all reasonable care to ensure that such is the case, the information contained in such sections is, to the best of its knowledge, in accordance with the facts and contains no omission likely to affect its import.

The Issuer has confirmed to the Settlement Agent and the Distributor that this Investment Memorandum contains all information which is (in the context of the issue and offering and sale of the Notes) material; that such information is true and accurate in all material respects and is not misleading in any material respect; that any opinions, predictions or intentions expressed herein are honestly held or made and are not misleading in any material respect; that this Investment Memorandum does not omit to state any material fact necessary to make such information, opinions, predictions or intentions (in the context of the issue and offering and sale of the Notes) not misleading in any material respect; and that all proper enquiries have been made to verify the foregoing.

No person has been authorised to give any information or to make any representation not contained in or not consistent with this Investment Memorandum or any other document entered into in relation to the Note Programme or any information supplied by the Issuer or such other information as is in the public domain and, if given or made, such information or representation should not be relied upon as having been authorised by the Issuer, the Trustee, the Settlement Agent or any Distributor.

Neither the Settlement Agent, the Trustee nor the Distributor nor any of their respective affiliates have authorised the whole or any part of this Investment Memorandum and none of them makes any representation or warranty or accepts any responsibility as to the accuracy or completeness of the information contained in this Investment Memorandum. Neither the delivery of this Investment Memorandum or the Pricing Supplement nor the offering, sale or delivery of any Note shall, in any circumstances, create any implication that the information contained in this Investment Memorandum is true subsequent to the date hereof or the date upon which this Investment Memorandum has been most recently amended or supplemented or that there has been no adverse change, or any event reasonably likely to involve any adverse change, in the prospects or financial or trading position of the Issuer since the date thereof or, if later, the date upon which this Investment Memorandum has been most recently amended or supplemented or that any other information supplied in connection with the Note Programme is correct at any time subsequent to the date on which it is supplied or, if different, the date indicated in the document containing the same.

The distribution of this Investment Memorandum and the Pricing Supplement and the offering, sale and delivery of the Notes in certain jurisdictions may be restricted by law. Persons into whose possession this Investment Memorandum or the Pricing Supplement comes are required by the Issuer, the Settlement Agent and the Distributor to inform themselves about and to observe any such restrictions. For a description of certain restrictions on offers, sales and deliveries of Notes and on the distribution of this Investment Memorandum or the Pricing Supplement and other offering material relating to the Notes, see "**Subscription and Sale**". In particular, Notes have not been and will not be registered under the United States Securities Act of 1933 (as amended) (the "**Securities Act**") and are subject to U.S. tax law requirements. Subject to certain exceptions, Notes may not be offered, sold or delivered within the United States or to U.S. persons.

This Investment Memorandum and any Pricing Supplement is not being distributed by, nor has it been approved for the purposes of section 21 of the Financial Services and Markets Act 2000 by, a person authorized under the Financial Services and Markets Act 2000. This Investment Memorandum and any Pricing Supplement is for distribution only to, and is only directed at, persons who (i) are outside the United Kingdom or (ii) have professional experience in matters relating to investments (being investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005, as amended (the "Financial Promotion Order")); (iii) are persons falling within Article 49(2)(a) to (d) (high net worth companies, unincorporated associations, etc.) of the Financial Promotion Order; or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000) in connection with the issue or sale of any Notes may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as "relevant persons"). Accordingly, by accepting delivery of this Investment Memorandum and any Pricing Supplement, the recipient warrants and acknowledges that it is such a relevant person. Any Notes will be available to, and any invitation, offer or agreement to subscribe, purchase or otherwise acquire such Notes will be engaged in only with, relevant persons. Any person who is not a relevant person should not act or rely on this document or any of its contents. No part of this Investment Memorandum and any Pricing Supplement should be published, reproduced, distributed or otherwise made available in whole or in part to any other person without our prior written consent. Notes will not be offered or sold to any person in the United Kingdom, except in circumstances which will not result in an offer of securities to the public in the United Kingdom within the meaning of Part VI of the Financial Services and Markets Act 2000.

Neither this Investment Memorandum nor the Pricing Supplement constitutes an offer or an invitation to subscribe for or purchase any Notes and should not be considered as a recommendation by the Issuer, the Settlement Agent, the Distributor, the Trustee, or any of them that any recipient of this Investment Memorandum or the Pricing Supplement should subscribe for or purchase any Notes. Each recipient of this Investment Memorandum or the Pricing Supplement shall be taken to have made its own investigation and appraisal of the condition (financial or otherwise) of the Issuer.

In this Investment Memorandum, unless otherwise specified, references to a "Member State" are references to a Member State of the European Economic Area, references to "pounds sterling", "sterling" and "£" are to the lawful currency of the United Kingdom, references to "U.S.$", "U.S. dollars" or "dollars" are to United States dollars and references to "EUR", "€" or "euro" are to the single currency introduced at the start of the third stage of European economic and monetary union, and as defined in Article 2 of Council Regulation (EC) No. 974/98 of 3 May 1998 on the introduction of the euro as amended.

The Notes may not be a suitable investment for all investors. Each potential investor in the Notes must determine the suitability of that investment in light of its own circumstances. Each potential investor may wish to consider, either on its own or with the help of its financial and other professional advisers, whether it:

1. has sufficient knowledge and experience to make a meaningful evaluation of the Notes, the merits and risks of investing in the Notes and the information contained or incorporated by reference in this Investment Memorandum or any applicable supplement;

2. has access to, and knowledge of, appropriate analytical tools to evaluate, in the context of its particular financial situation, an investment in the Notes and the impact the Notes will have on its overall investment portfolio;

3. has sufficient financial resources and liquidity to bear all of the risks of an investment in the Notes, including Notes where the currency for principal or interest payments is different from the potential investor's currency;

4. understands thoroughly the terms of the Notes and is familiar with the behaviour of financial markets; and

5. is able to evaluate possible scenarios for economic, interest rate and other factors that may affect its investment and its ability to bear the applicable risks.

Legal investment considerations may restrict certain investments. The investment activities of certain investors are subject to legal investment laws and regulations, or review or regulation by certain authorities. Each potential investor should consult its legal advisors to determine whether and to what extent (1) Notes are legal investments for it, (2) Notes can be used as collateral for various types of borrowing and (3) other restrictions apply to its purchase or pledge of any Notes. Financial institutions should consult their legal advisors or the appropriate regulators to determine the appropriate treatment of Notes under any applicable risk-based capital or similar rules.

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OVERVIEW OF THE SERIES 2023-F6 GBP SOLAR NOTES DUE 2027

KEY PARTIES

Issuer	Sustainable Capital PLC, incorporated in England with registered number 12423459 and having its registered office at Ground Floor, 45 Pall Mall, London, United Kingdom, SW1Y 5JG.
Trustee	Truva Trust Corporation PLC (the "**Trustee**") will act as trustee for and on behalf of the holders of the Notes pursuant to a Trust Deed (the "**Trust Deed**") dated 9 March 2023 between the Trustee and the Issuer and will act as security trustee and hold on trust for itself and the other Issuer Secured Creditors the security granted by the Issuer pursuant to each Issuer Deed of Charge.
Paying Agent	ISP Securities LTD will act as paying agent (the "**Paying Agent**") pursuant to a paying agency agreement (the "**Agency Agreement**") dated 19 July 2023 between the Paying Agent and the Issuer.
Servicer and Calculation Agent	Bedford Row Capital PLC with its registered office of 63/66 Hatton Garden, Fifth Floor Suite 23, London, England, EC1N 8LE will act as servicer (the "**Servicer**") and the calculation agent (the "**Calculation Agent**") pursuant to a servicer agreement (the "**Servicer Agreement**") dated 3 March 2023.

EXECUTIVE SUMMARY

The XTCC Notes are intended to provide Noteholders 100% principal protection at the Maturity Date and participation in the market for high-quality carbon credits ("**HQCC**"). The net proceeds of the Notes will be applied by the Issuer as follows:

1. The Issuer will, at all times, hold up to 3% of the aggregate amounts of Notes outstanding in a Collateral Account as reserve for liquidity purposes and to ensure there are sufficient amounts to pay amounts due to the Issuer Secured Creditors (other than the Noteholders) (the "**Reserves**").

2. The balance, after the deduction of the Reserves, will be invested in Secured Assets meeting the Secured Asset Eligibility Criteria (as set out in the Listing Particulars) with a minimum of at least 80 per cent. of such balance invested as principal protection in the BlackRock ICS Sterling Liquidity Fund or the BlackRock ICS Sterling Liquid Environmentally Aware Fund or, in the event that the Issuer is unable to invest in either of those funds, an equivalent rated fund selected by the Issuer.

As part of its investment in Secured Assets, the Issuer will enter into an ISDA Master Agreement (the "**ISDA Agreement**") with the Obligor pursuant to which the Issuer will make payments to the Obligor and the Obligor will use those payments to purchase HQCCs from market makers. Where the Issuer is required to make payments carbon credits to Noteholders, the Obligor will be required to liquidate or sell HQCCs and make a payment to the Issuer under the ISDA Agreement. As security for the Obligor's payments to the Issuer, the Obligor will provide the Issuer with security over HQCCs held or owned for a particular Series.

The Obligor will source HQCCs from audited and verified solar energy projects which have been operational since at least 2016 and meet relevant industry standard definitions of "high-quality". See below under Background to the XTCC Notes.

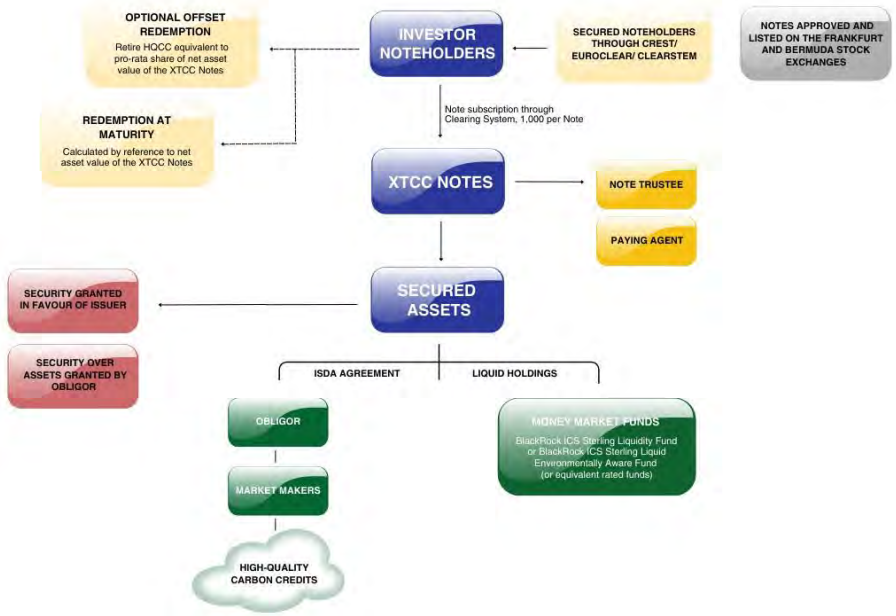
Holders of the XTCC Notes will have a number of options each as set out in the Pricing Supplement and the Conditions to the XTCC Notes:

(i) hold the Notes up to the Maturity Date at which time they will receive the "Final Redemption Amount" calculated as the "NAV per Note" which is based on the value of the principal protection and an amount calculated at the most recent Valuation Date of the value of the HQCC credits owned by the Obligor.

(ii) to sell their Notes through the applicable clearing systems and in accordance with the rules of those clearing systems.

(iii) exercise the Put Option set out in the Pricing Supplement on any Business Day having given the required notice. If so exercised, the Issuer will calculate the applicable Nav per Note and arrange for an equal amount of carbon credits to be retired. The Noteholder will be provided with a certificate to this effect and their Notes will be deemed to have been redeemed in full.

STRUCTURE DIAGRAMME



BACKGROUND TO THE XTCC NOTES

Background

The United Nations Framework Convention on Climate Change (UNFCCC) was convened in Kyoto, Japan in December 1997. The resulting Kyoto Protocol set out to cap and reduce human-generated greenhouse gas ("GHG") emissions to "*a level that would prevent dangerous anthropogenic interference with the climate system*". There are seven gasses that cause greenhouse effects of which carbon dioxide emissions make up approximately 76%[1].

The Global Offset Market

The Kyoto Protocol introduced a concept of emissions trading, a new type of market (and asset) that created the carbon credit as a commodity that could be bought, sold, saved or traded. The market for carbon credits and Emission Trading Systems (ETS) compliance evolved from this concept.

In summary, emissions trading allowed countries with excess carbon credits (above their needs) to monetise these credits by selling them to other countries who needed carbon credits in excess of their allotment.

This international carbon offsets system created by the Kyoto Protocol, is fundamental to the compliance carbon market, best known as the ETS (or EUA).

Since 2014, the price of carbon credits has seen an annualised increase of 150% per annum (from 5.91 to 81.88 or a nearly 14-fold increase) and a nearly **40% per annum average** over the last five years.

Source: Bloomberg. EUA Market Price

This "**national offset**" scheme has proven to be well regarded, efficient and for investment purposes, quite impressive. The prices on the ETS market reflect the political and social demand for carbon reduction and the drive for a net zero world has moved up the global agenda. The concept of governments using an offset mechanism continues to ripple through entire economies from multi-nationals to individuals (even offsetting emissions from work related travel).

[1] Center for Climate and Energy Solutions. *Global Emissions*. <https://www.c2es.org/content/international-emissions/>

This global commitment to the Kyoto Protocol and the need of an efficient offset market is fundamental to the drive for net zero.

Whilst social and political pressure grows, the key fact remains that clean energy markets remain critical to the goal of reducing GHGs. However, the basic premise of the Kyoto Protocol remains unfulfilled; there is no efficient offset mechanism for renewal energy and other similar projects. Exchange Traded Carbon Credits are the final puzzle piece to enable the same financial incentives as the ETS to flow to the renewable energy markets.

The Market Opportunity

Whilst the market for ETS has evolved, change is needed in the fragmented and dysfunctional voluntary carbon market. Originating in private enterprise and mostly funded by private capital, renewable energy projects have seen tremendous investment in the past 20 years across virtually every possible technology to generate energy from renewable sources. One of the fundamental economic drivers for this effort was the addition of carbon credits; the economic benefit of the feed in tariff and sales of energy as well as the value of the carbon credits created. Notwithstanding these improvements the sale of carbon credits remains inefficient and before now, impossible to monetise efficiently (if you have invested in creating a renewable energy source). The importance of renewable sources is increasingly high on the political agenda and the expected demand for voluntary carbon credits may have the same growth potential as the ETS market over the past 15 years.

Figure 1. Voluntary Carbon Market Size by Value of Traded Carbon Credits, pre-2005 to 31 Dec. 2021

Source: Carboncredits.com (note 3)

Since 2020, the market for voluntary carbon credits has tripled from about $300 million in 2020 to more than $1 billion in 2021[2] . In 2022, activity in voluntary carbon markets in the United States alone roughly doubled again eclipsing $2 billion at the end of 2022[3]. Bain, BCG, Shell, Barclays and the

[2]MSCI (2022, 8 June) *Introducing the Carbon Market Age*. Morgan Stanley Capital International. <https://www.msci.com/www/blog-posts/introducing-the-carbon-market/03227158119>

[3] L. Jennifer. (2022, 5 August) *Real Voluntary Carbon Market Value is 2 Billion*. CarbonCredits.com. <https://carboncredits.com/real-voluntary-carbon-market-value-is-2-billion/>

Norwegian Sovereign Wealth Fund (among many) predict the market is about to explode: by 2030 estimates of possible market size range from between $10 billion to $50 billion (with one an outlier prediction of $180 billion). Taking a conservative view, if this consensus is only 50% correct, that is more than a 10-fold increase in value in the next seven years.

McKinsey suggests that it is essential that an efficient voluntary carbon credit market functions and could be worth over $50 billion by 2030.[4]

The need and demand for more efficiency in the voluntary carbon credit market is obvious. The growth expectations are significant so how can you invest in an asset class that may grow by 10- -fold in seven years?

XTCC is the asset class for the net zero world.

A Problem Solved is an Opportunity Created: XTCC™

"The fractionalised and dysfunctional market needs to change to be able to deliver the proposed objectives of accelerating the net- zero transition."

Professor Kevin Haines – Director, Sustainable Capital PLC

Why were there no investment products for carbon credits available before XTCC?

Given the importance of the market and the potential explosive demand driven by the global goal of 2030, it is surprising and obvious why there have been no efficient solutions for investing in carbon credits.

- Banks
- Technology
- Costs
- Transparency
- Expertise
- Fractional and Opaque Markets

The Problem with Banks

Regulation has forced more and more banks to focus on vanilla strategies.This is a combination of labour cost, regulatory pressures, shareholder return on equity and a business model that does not allow for investment in the "new". Yes, small initiatives exist and carbon trading is part of most investment banks. Still, by focusing on the ETS market, it makes it difficult for most banks to develop problem- solving solutions.

The Problems with Technology

Financial institutions are notorious for bloated and inefficient IT departments which continue to burn shareholder capital. Without the ability to build comprehensive solutions because of the complexity of the business (and overall low operating margin) there is just not sufficient budget to develop solutions for new markets.

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[4] Blaufelder, et al. (2021 January*). A Blueprint for Scaling Voluntary Carbon Markets to Meet the Climate Challenge*. McKinsey Sustainability. <https://www.mckinsey.com/capabilities/sustainability/our-insights/a-blueprint-for-scaling-voluntary-carbon-markets-to-meet-the-climate-challenge>

Costs

Legal, regulatory, IT, expertise, external and internal consultants and R&D all contribute to the overall project cost in any industry. In financial markets (banks particularly) these costs are probably the largest part of the operating budgets. Recovering (or covering) these costs requires big-ticket transactions. There is essentially an anti-cyclone of costs and vanilla projects sucking in available capital to develop new products.

Why is transparency even an issue?

Given the problems of technology and human capital investment, transparency gives away a competitive advantage. Proprietary strategies can be profitable precisely because they are proprietary; other models require enormous scale to cover the costs of product development, compliance, legal and operational, let alone the need for a solid reputation in the sector. On this basis, transparency becomes problematic except in deep markets such as RMBS and CMBS where the size of the transactions makes up for the thin margins and the nature of the risks requires look-through approach type of products.

Expertise

Although the market is not that old, much of the product development expertise which was available in financial institutions to launch the ETS market has aged. In particular, banks have closed or lost teams and individuals have left the industry. Zero interest rates and challenging economic conditions in the past five years means that finding expertise in one place (with one vision) has become harder and harder to find. The boom in fintech valuations meant many finance and technology professionals left to create their own entities and moving their skills away from the banks. Dispersal of talent has made it difficult to overcome the costs and technological investment necessary to disrupt the market despite the potential growth opportunity.

Fractional and Opaque Markets

Inefficient markets are, however, commercially self-serving. Without a transparent and efficient market, fragmentation and opacity can be wildly profitable for commercial companies seeking to capitalise on this market. The carbon credits market (and the abuses which have been widely reported) have arisen because there is no efficient market[5]. XTCC aims to resolve these issues by using the regulated markets and their in-built transparency and disclosure requirements to create a credible market offering in the market for High Quality Carbon Credits ("**HQCC**").

Research by the Obligor in August 2023 confirmed the disparity, inefficiency and opacity in the market for offsetting carbon credits. An individual or a corporation can purchase offsets from many different websites (and for reasons as different as offsetting a company's emissions to air travel) ranging from USD20 to USD350 per mtCO2. There was no explanation as to the quality of the credits, limited provenance and an offset or retirement mechanism is almost entirely from current offerings. The research demonstrated that this situation repeats across many hundreds of websites where the description of the value of the voluntary offsets vary wildly (with little or no information for investors).

[5] Greenfield, Patrick (2023, 24 August). *Carbon credit speculators could lose billions as offsets deemed 'worthless'*. The Guardian. <https://www.theguardian.com/environment/2023/aug/24/carbon-credit-speculators-could-lose-billions-as-offsets-deemed-worthless-aoe>

The Solution: Credibility Demands Efficiency and Transparency

The capital markets are efficient and transparent; development and growth that align with the McKinsey estimates do not require additional markets. The capital markets are already global.

- ✓ XTCC combines the opportunity for a booming asset class and the trillions of dollars of liquidity which flow through the capital markets daily.
- ✓ XTCC is the only investment product specifically engineered to capture the potential upside of the demand for carbon credits.
- ✓ XTCC provides a solution to the problems which have held back the development of an efficient market for investing in carbon credits.

The reasons why XTCC delivers credibility:

- **Banks**

  Banks are not necessary to access the capital markets. The Issuer (and the team behind the creation of the platform) has issued more than 200 securities in the past seven years. The non-bank structured finance market continues to grow, and is a simple solution to the problem of banks and their generally vanilla thinking.

- **Technology**

  The team behind XTCC has the deep technological expertise which has been fundamental to their successes for more than 20 years. By harnessing that knowledge and integrating ZERO13 and Bondstream, XTCC becomes a product created and used across other markets.

- **Costs**

  Appropriate use of technology drives down costs and combining capital markets expertise, cap table management (Bondstream) and ZERO13 multi-chain solutions, XTCC deploys a level of technical sophistication that can only develop outside of mainstream financial institutions. State of the art technology is not necessary, but the knowledge and track record of creating solutions directed at this market underpins the launch of XTCC.

- **Transparency**

  The Issuer was established as a debt capital market issuance platform. The principles of a look-through approach and transparency around cashflows are fundamental to the nature of the business. This is common to CLOs and RMBSs as well as trade finance. The Issuers' in-built systems and protocols entirely support transparent investment strategies.

- **Expertise**

  The team behind the development of XTCC has decades of experience in capital markets, structuring, technology, legal and regulatory matters. The team has a track record of disruptive and innovative solutions including award-winning propositions in fintech, hackathons, regtech, legal tech and plain old open global competitions of excellence.

- **Fractional and Opaque Markets**

  Listing on Deutsche Borse and Bermuda Stock Exchange and open publication of reference valuations should disrupt the inefficient market profiting from the lack of market information. The transparency inherent in regulated and open markets is critical for confidence for investment funds as well as family offices and private capital to track, trade, hold or use their XTCC Notes for offset purposes.

- **Retirement for Offset or Investment**

  XTCC has a unique mechanism allowing investors to choose whether or not to retire some or all of their holdings in XTCC by exercising the put option as specified in the Pricing Supplement for a physical delivery. The delivery of a certificate and subsequent retirement of the carbon credits will be in line with market practice and will ensure there is no double-counting possible. This feature of XTCC will allow investors to choose whether to invest, hedge against future compliance costs or simply offset to achieve a carbon-neutral position.

XTCC Notes represent the only way to credibly invest in the most important asset class of the net-zero world.

Accountability, Transparency and Confidence

High-Quality Carbon Credits

The guidelines currently in circulation put out by, for example, the World Wildlife Fund and the *"10 Core Carbon Principles"* published by the Integrity Council for the Voluntary Carbon Market (ICVCM) in 2022[6] breaks down the criteria for determining high-quality credits. To qualify via their guidelines, a carbon credit must have a "*robust determination of the GHG emissions impact of the mitigation activity*," which includes additionality and robust quantification of emissions reductions and removals. They also require that projects avoid double use/counting and non-permanence, which is the risk that the carbon capture may not last forever. For example, a tree that holds carbon burns down and releases the carbon back into the atmosphere. Each project must *"facilitate transitions towards net zero emissions",* including adopting efficient emission or avoidance technologies. Similarly, each project must have a strong organisational backbone that can ensure transparency and proper auditing. Lastly, the projects must properly address social impacts, improving the positive impacts and limiting the negative impacts.[7]

UNFCCC Clean Development Mechanism Approved Methodologies and ISO 14064–2:2019

Additionally, each carbon credit project provided through UCR has a real, tangible outcome, that is completely transparent and traceable, allowing UCR to prevent double counting, leakage or any of the other issues that have plagued carbon credit projects. Lastly, UCR projects are generated from a pre-approved positive list of green projects that improve upon the UNFCCC CDM positive list of pre-approved additional project types.

ISO14068 (The new Gold Standard)

One of the key organisations for setting standards for carbon neutrality is the International Organization for Standardization (ISO). ISO 14068, while not yet fully released, is designed to detail the path forward to carbon neutrality, emphasising the reduction of primary carbon consumption, followed by direct GHG removals, before resorting to offsetting residual emissions. ISO 14068 sets out core principles designed to drive the path towards true carbon neutrality worldwide: transparency; conservativeness; supporting transition; a science-based approach; and avoiding adverse impacts and accountability.

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[6] ICVCM.org. (2023 July). *The Core Carbon Principles*. The Integrity Council for the Voluntary Carbon Market <https://icvcm.org/the-core-carbon-principles/>

[7] EDF, et al. (2020 June). *What Makes a High-Quality Carbon Credit?* WorldWildlife.org. <https://files.worldwildlife.org/wwfcmsprod/files/Publication/file/54su0gjupo_What_Makes_a_High_quality_Carbon_Credit.pdf?_ga=2.214329943.198254096.1696814563-739384455.1696814563>

Do No Significant Harm

The principle of DNSH is defined not only in the context of net zero (and the standards above) but more importantly in the EU Sustainable Finance Disclosure Regime (SFDR).

XTCC's approach to assessing high-quality carbon credits addresses the "do no significant harm or impact" additionality test. No projects have any negative developmental impacts, such as on the local community or environment, use coal or any fossil fuel in producing carbon credits, nor do any projects involve buffering carbon credits as insurance for future calamities.

HIGH-QUALITY CARBON CREDITS COMPLIANCE CHECKLIST

Requirement	Compliance	Method	Source
Quantification of Emissions Avoidance	**YES**	The calculation of the number of metric tonnes of HQCC (mtCO2e) will be based on the actual megawatt-hours of energy produced from a number of selected solar farms. Information based on a calculation of the number of metric tonnes (or "Carbon offset Units") will be provided to investors through a dedicated portal – registration through http://xtcc.investments	World Wildlife Fund, ICVCM
Permanence	**YES**	The renewable energy source has been generating for at least two years and have full operational solutions which are based on established technologies.	World Wildlife Fund, ICVCM
Facilitate transition towards net zero	**YES**	Renewable energy production provides an alternative to fossil fuel power-generation.	World Wildlife Fund, ISO14068 and ICVCM
Adoption of efficient technologies	**YES**	Existing and proven technologies in stable, power generating solutions.	World Wildlife Fund
Organisational Transparency	**YES**	All credits are sourced from companies which have submitted their processes to both regular monitoring and verification of production to independent auditors.	World Wildlife Fund, ICVCM
Auditability and Accountability	**YES**	As above. Details of the megawatt hours of renewable power are audited to determine the carbon credits created.	World Wildlife Fund, ISO14068, ICVCM
Social Impacts	**YES**	Social impact aligned with SDGs (as reported below), including "Decent Work and Economic Growth".	World Wildlife Fund, ICVCM
Traceability	**YES**	As above. Details of the megawatt-hours of renewable power are audited to determine the carbon credits created. Available to	ISO14064, ICVCM

Requirement	Compliance	Method	Source
		investors in XTCC through a dedicated portal on the Bondstream™ platform.	
Transparency	**YES**	As above.	ISO14064, ISO14068, ICVCM and World Wildlife Fund
Additionality	**YES**	See below	ICVCM
Avoid Double Counting	**YES**	Registries employ a blockchain-enabled solution to ensure the traceability of the input source and prevent double counting through the ZERO13 infrastructure.	ISO14064, ICVCM
Approved by UNFCCC CDM project type	**YES**	Registries employ externally audited standards in calculating and verifying the credits created for each project in line with CDM-approved protocols.	ISO14064 and UNFCCC
Conservativeness	**YES**	Following the UNFCCC protocols and coupled with transparency, there is a direct correlation between megawatt hours and carbon credits generated.	ISO14068
Science-based Approach	**YES**	The calculation of the carbon credits is monitored and audited using calculations set out by the relevant UNFCCC protocols.	ISO14068
Avoiding Adverse Impacts	**YES**	Projects are monitored for PASI (as aligned with the SFDR requirements) and the impact assessments are carried out at the audit stage before allowing the credits to be included in the registry.	ISO14068

Additionality

Additionality refers to the reduction in emissions that wouldn't have occurred without the carbon credit-funded project. Essentially, it's the difference between what actually happened and what would have happened in the absence of the carbon credit project. Additionality is crucial because it prevents the issuing of carbon credits for projects that would have happened anyway (business-as-usual scenarios) or for those that don't lead to a net decrease in emissions. Without additionality, there's a risk of merely shifting emissions around rather than reducing them. The importance of additionality cannot be ignored. The Issuer will provide reports and updates on each project and the Additionality aspects as part of the regular reporting which will be available to Noteholders.[8]

Co-Benefits

Co-benefits are defined as environmental or societal benefits that come as a result of a carbon credit project that are not related to the GHG reduction. Co-benefits can range anywhere from reforestation and biodiversity impacts to local community impacts.

Details of each project and the associated co-benefits will be made available to Noteholders and reported on a regular basis at http://xtcc.investments.

The Solar Portfolio

The secured assets will comprise high-quality carbon credits verified and audited in compliance with the relevant UNFCCC CDM protocols for approved projects. The principal protocol for grid connected solar arrays is specified as AMS-ID *"Grid connected renewable energy electricity generation – version 18.0"* (the "**CDM Protocol**")[9]

Independent verification and project audit reports are reviewed before any purchase of HQCC and confirmation of additionality and co-benefits, which are reported in the project documentation. Appendices II and III contain examples of this project documentation (pre-approval and verification reports).

HQCC originate from a diversified pool of renewable energy sources, which include the following characteristics:

- Roof or ground-mounted solar installations
- Mon-crystalline or polycrystalline technologies
- Productive generating periods up to 20 years
- Non-proprietary technology used for generation of power (permanence)

Projects use generally available technology (commercial, not proprietary) and are specifically established to displace an equivalent quantity of electricity from the regional grids. All of the equipment complies with applicable national/international standards which are verified by one or more of the following documents:

- Technology specification provided by the technology supplier
- Purchase order copies

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[8] Offsetguide.org. *Additionality*. Carbon Offset Guide. <https://www.offsetguide.org/high-quality-offsets/additionality/>

[9] CDM.UNFCCC.int. (2014, 28 November) *Grid Connected Renewable Electricity Generation, Version 18*. Clean Development Mechanism. <https://cdm.unfccc.int/methodologies/DB/W3TINZ7KKWCK7L8WTXFQQOFQQH4SBK>

- EPC contracts
- Power purchase agreement
- Project commissioning certificates

These documents form important parts of the verification process in line with the CDM Protocol.

To qualify under the CDM Protocol, the project activity must be renewable energy generation through the installation of solar photovoltaic modules. It will displace electricity from the regional grid by supplying it to the grid itself. The activities at the project must also involve installing new power plants at listed sites where no renewable energy power plant was operating before project implementation.

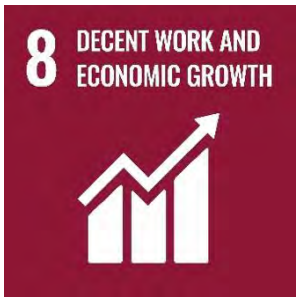
Finally, to determine the impact and the additionality as well as the calculation of the carbon credits (if the project activity is the installation of a new grid-connected renewable power plant/unit) the baseline scenario is the following (as per paragraph 19 of the CDM Protocol):

"The baseline scenario is that the electricity delivered to the grid by the project activity would have otherwise been generated by the operation of grid-connected power plants and by the addition of new generation sources into the grid".

In verification of the requirements for purchase by XTCC, the above assessments are vetted and consolidated for reporting purposes by ZERO13 (as below).

UN Sustainable Development Goals

For inclusion in the XTCC Solar portfolio, all the projects, at a minimum, must report and comply with the below SDGs. In general terms, projects have been assessed as contributing to the overall positive impact on the local population.



Social Well-Being

There is a commitment that good employment opportunities will be created for the local workforce during the project construction phase. The projects, after implementation will continue to provide employment opportunities for the local population sustainably and the same will be continued over the project's lifetime. The employment opportunities created will contribute towards alleviating poverty in the surrounding area throughout the lifetime of the project activity.

Economic Well-Being

The projects are clean technology investments, mitigate carbon dioxide emissions and are entitled to HQCCs as carbon incentive support. The project activity requires both a temporary and permanent, skilled and semi-skilled workforce at the project location, creating additional employment. The electricity replaced in the grid will be available for nearby areas which directly and indirectly improves the economy and lifestyle of the area. In addition, the success of these projects will provide new opportunities for industries and economic activities to be set up in the area and also provide carbon incentives to upgrade or expand capacities. Apart from getting better employment opportunities, the

local people may get better prices for their land and the potential to improve overall economic development.

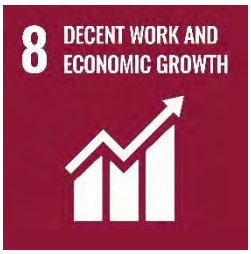
Technological Well-Being

The successful sale of the HQCCs should encourage other entrepreneurs to participate in similar projects. Increased interest in solar energy projects will further push R&D efforts by technology providers to develop more efficient and better machinery in the future. The project activity leads to the promotion and demonstrates the success of solar projects in the region, further motivating more investors to invest in solar power projects. Hence, the project activity leads to technological well- being and the circularity benefits which underpin XTCC's vision.

Environmental Well-Being

Solar energy generates electricity which is a clean source of energy. The project's activities generate power using a zero-emissions, solar-based power generation facility, which helps to reduce GHG emissions and specific pollutants like SOx, NOx and SPM associated with conventional thermal power generation facilities. Following the Kyoto Protocol principles, clean energy generation reduces the dependence on fossil fuels and conserves natural resources. In addition, the impact on land, water, air and soil is negligible. Thus, the project causes no negative impact on the surrounding environment, contributing to environmental well-being, but is also fundamental to the DNSH principles set out above.

The above can be summarised in terms of the SDGs as:

	✓ Projects will generate clean energy, which, with increased sharing will increase the affordability at a cheaper rate to end users. ✓ The projects will use solar energy (a renewable resource) to generate power. ✓ The projects will increase the share of renewable resource-based electricity/ in the global energy consumption mix.
	✓ Project activity generates additional employment for skilled and unskilled workers, and projects situated in remote areas will provide employment opportunities to unskilled people from villages. Employees will also be provided with training on various aspect including safety, operational issues and developing skill sets. ✓ This project will achieve full and productive employment and decent work for all women and men, including for young people and persons with disabilities, and equal pay for work of equal value.

	✓ The projects do not use fossil fuels in the generation of power. ✓ These projects are calculated to reduce carbon dioxide emissions based on the mega-watt hours of energy generated in accordance with the CDM Protocol. ✓ In Greenfield projects, electricity delivered to the grid by the project would have otherwise been generated by grid-connected power plants. Therefore, the project activity reduces the dependence on fossil fuel-based generation units. As this project has no associated emissions it contributes to the reduction of GHG emissions.

Portfolio Allocation

The allocation of the net proceeds of the Series will be allocated on a proportionally weighted basis based on the mega-watt hours of power generated by the projects included in the portfolio. This ensures an even distribution of proceeds without any bias according to non-specific qualitative factors detracting from the science-based approach as set-out in IS0 14068. The purchase of the HQCC is executed under the terms of an ISDA Agreement between the Issuer and the Obligor. The allocation of proceeds from the Obligor for the HQCC will be managed by ZERO13 and available to Noteholders on request to the Issuer through the Bondstream platform. In the case of an offset for retirement request by the Noteholders, the HQCC will be removed from the relevant registry and retired in accordance with the anti-double-counting provisions of both ZERO13 and the relevant registries.

Principal Protection

An amount intended to return 100% principal protection at the Maturity Date will be invested in the BlackRock ICS Sterling Liquidity Fund or the BlackRock ICS Sterling Liquid Environmentally Aware Fund (together, the "**Principal Protection Funds**"). The actual amount will depend on the prevailing rates but as at the date of this Investment Memorandum the actual figure would be 81.08%. Each of the Principal Protection Funds are part of the BlackRock Institutional Cash Series and are open-ended Irish domiciled funds. The amounts invested in the Principal Protection Funds are included in and secured as part of the Secured Assets.

Technology

ZERO13

ZERO13, a GMEX Group initiative, is an award-winning, automated AI and blockchain-driven international carbon exchange, registry and aggregation hub ecosystem. Accessed as a 'Platform as a Service' (PaaS), ZERO13 offers a distributed point of entry for digital issuance, trading and settlement of carbon credits. ZERO13 connects multiple international carbon exchanges, registries, custodians and

ESG project owners for supply verification, transparent pricing and real-time settlement. ZERO 13 connects to Bondstream™ and provides verification and authentication using the Pyctor blockchain. ZERO 13 will aggregate across registries and provide a critical link in the bottom-up authentication of the HQCCs.

Bondstream™

Bondstream™ is a multi-award winning, Estonian-based B2B fintech platform providing XTCC with a unique cross-markets cap table management system to provide liquidity across both digital and regulated capital markets. Bondstream fills the gap between CRM systems, Excel and Bloomberg and is used by securities issuers to improve the efficiency of integrated cap table management and distribution channel support. With real-time reconciliation of investments and costs, Bondstream empowers investors and issuers to make informed decisions while ensuring transparency, security and regulatory compliance. XTCC investors will have access through Bondstream to the underlying asset class information creating an end-to-end data and integrity management system.

RISK FACTORS

Prospective investors should read the entire Listing Particulars and this Investment Memorandum. Words and expressions defined in the "Terms and Conditions of the Notes" below or elsewhere in this Investment Memorandum and, to the extent not inconsistent with this Investment Memorandum, the Listing Particulars have the same meanings in this section.

The Issuer believes that the factors listed in the Listing Particulars and the following specific factors may affect its ability to fulfil its obligations under the Notes. All of these factors are contingencies which may or may not occur and the Issuer is not in a position to express a view on the likelihood of any such contingency occurring.

The Issuer believes that the factors described in the Listing Particulars and below represent the principal risks inherent in investing in the Notes issued under the Note Programme, but the inability of the Issuer to pay interest, principal or other amounts on or in connection with the Notes may occur for other reasons and the Issuer does not represent that the statements below regarding the risks of holding the Notes are exhaustive. Prospective investors should also read the detailed information set out elsewhere in this Investment Memorandum and the Listing Particulars and reach their own views prior to making any investment decision.

Risk	**Description**
Risk of Capital Loss	Unlike a bank deposit, the Notes are not protected by the UK Financial Services Compensation Scheme (the "FSCS") or any other government savings or deposit protection scheme. As a result, the FSCS will not pay compensation to an investor in the Notes upon the failure of the Issuer. If the Issuer goes out of business or becomes insolvent, Noteholders may lose all or part of their investment in the Notes. If the Notes have been sold or advised through a regulated financial intermediary, compensation may be available as a result of advice provided directly to the Noteholders. If the Notes default before their Maturity Date, Noteholders may lose part or all of their capital investment, meaning they may receive less than the full amount invested.
Regulatory Risk	The Issuer does not need to be (and is not) licensed or authorised under any current securities, commodities, insurance or banking laws of any jurisdiction and has not applied (and does not expect to apply) for any such licences or authorisations. There is no assurance, however, that regulatory authorities in one or more jurisdictions would not take a contrary view regarding the applicability of any such laws to the Issuer. The taking of a contrary view by any such regulatory authority could have an adverse impact on the Issuer or the holders of Notes issued by the Issuer.
Market Risk	Market Risk refers to the potential value of the Notes fluctuating due to changes in market conditions. Several factors may contribute to this, including the volume of issuance (see "Lower than expected volumes of issuance" below), the lack of an established secondary market (see "Secondary market" below), changes in interest rates (see "Interest Rate Risk" below), rising

	inflation (see “Inflation Risk” below) changes in credit quality of the Secured Assets (see “Credit Risk” below), changes in credit spreads (see “Yield Curve Risk” below), change in the exchange rate of the currency of the Notes in relation to currency in which the Noteholder’s principal financial activities are denominated (see “Foreign Exchange Risk” below) and market volatility & sentiment more generally (see “Market Volatility & Sentiment”).
Lower than expected volumes of issuance	No assurance is provided that investors will subscribe for the full amount of Notes which are made available for subscription during a particular offer period. The volume of issuance of a particular Tranche of Notes will depend on a number of factors including, without limitation, prevailing market conditions and the availability of alternative investment opportunities. To the extent that the volumes of issuance of the Notes are lower than expected, the liquidity of the Notes in the secondary market will be limited.
Secondary market	Notes may have no established trading market when issued, and one may never develop. If a market does develop, it may not be liquid. Therefore, investors may not be able to sell their Notes easily or at prices that will provide them with a yield comparable to similar investments that have a developed secondary market. This is particularly the case for Notes that are especially sensitive to interest rate, currency or market risks, are designed for specific investment objectives or strategies or have been structured to meet the investment requirements of limited categories of investors. These types of Notes generally would have a more limited secondary market and more price volatility than conventional debt securities. Further, if an investor chooses to sell its Notes in the open market or through any other available channel including over-the-counter, at any time prior to maturity of the Notes, the price the investor will receive from a purchaser may be more or less than its original investment, and may be more or less than the amount due to be repaid at maturity of the Notes if the investor were to hold onto the Notes until then. Factors that will influence the price received by investors who choose to sell their Notes may include, but are not limited to, market appetite, inflation, the period remaining to maturity of the Notes, prevailing interest rates and the perceived view of investors to the investment objectives or strategies.
Credit Risk	The ability of the Issuer to meet its payment obligations under the Notes will be adversely affected by defaults in the underlying Secured Assets. The Issuer is inherently exposed to risks arising from changes in credit quality and the recoverability of Secured Assets. Defaults by obligors of Secured Assets may reduce the recoverability and value of the Issuer's assets.
Foreign Exchange Risk	The Issuer will pay in the Specified Currency specified in the applicable Pricing Supplement. This presents certain risks relating to currency conversions if an investor's financial activities are denominated principally in a currency or currency unit (the “Investor's Currency”) other than the Specified Currency. These include the risk that exchange rates may significantly change (including changes due to devaluation of the Specified Currency or revaluation of the

	Investor's Currency) and the risk that authorities with jurisdiction over the Investor's Currency may impose or modify exchange controls. An appreciation in the value of the Investor's Currency relative to the Specified Currency would decrease (i) the Investor's Currency equivalent yield on the Notes, (ii) the Investor's Currency equivalent value of the principal payable on the Notes and (iii) the Investor's Currency equivalent market value of the Notes. Government and monetary authorities may impose (as some have done in the past) exchange controls that could adversely affect an applicable exchange rate. As a result, investors may receive less interest or principal than expected, or no interest or principal.
Market Sentiment & Volatility	Financial markets can experience periods of increased volatility, driven by economic, geopolitical, or other factors. Elevated market volatility can result in rapid price fluctuations for debt securities. Investors should be prepared for the possibility of increased market volatility and its impact on the market value of the Notes.
Valuation Risk	The Issuer will make available a weekly valuation of the spot price of the Solar HQCC. The price will be calculated based on a number of market data sources which together give a valuation as at the date published. There is no guarantee that the actual market price which can be achieved in an open market sale will equal the valuation price. Market Risk will apply in all situations and may not be fully considered in the publication of valuations.
Reinvestment Risk	If the Issuer is unable to meet its financial obligations the Trustee may declare that the Notes shall become immediately due and payable at their early termination amount. Potential investors should consider reinvestment risk in light of other investments available at that time.
Emerging Markets	The proceeds from the issuance of the Notes will be used to invest in a pool of assets some or all of which may be exposed to emerging markets. Emerging markets carry the following enhanced risks that Noteholders will therefore also be exposed to. Political and Regulatory Risks: Emerging markets may be characterized by greater political instability, changing regulations and less transparency in governmental decision-making processes than more developed economies. Economic and Currency Risks: Emerging markets often face greater economic challenges compared to more developed economies, such as more inflation, currency devaluation, balance of payments issues and greater fluctuations in exchange rates that can affect an investment in those markets, especially when made in a foreign currency. Legal and Regulatory Environment: Emerging markets may lack well-established legal systems and investor protections to the same degree as more developed markets. Differences in legal and regulatory frameworks can make it challenging for investors in those markets to enforce contracts and protect investor rights.

	Socioeconomic and Environmental Factors: Socioeconomic challenges in emerging markets, such as income inequality, poverty, and social unrest, can affect the stability and economic outlook of those markets. Additionally, environmental concerns, including climate change and resource scarcity, may exacerbate those risks. Geopolitical Risks: Emerging markets may be more susceptible to geopolitical tensions and conflicts, which can disrupt economic activities and investment environments. Infrastructure and Operational Risks: Emerging markets may less adequate infrastructure compared to more developed economies, including utilities, transportation and communication. These deficiencies can impact the ability of investors in those markets to operate effectively and service their debt. Taxation and Repatriation Risks: Emerging market economies may implement taxation policies and restrictions on the repatriation of funds which may affect the returns on investments in those markets. Cultural and Social Risks: Differences in cultural norms, business practices, and social expectations can create challenges for investors in emerging markets. Pandemic and Health Risks: Emerging markets may face greater challenges related to healthcare infrastructure, disease outbreaks, and public health crises when compared to more developed economies, which can impact economic stability and investment performance.
Put Risk (optional redemption by the Noteholders)	During any period when the Noteholder may elect to redeem Notes, the market value of those Notes may not rise substantially above the price (or value of underlying assets) at which they can be redeemed. This also may be true prior to any redemption period. The ability to redeem the underlying assets and the associated value in offset certificates received by the Noteholders may be lower than expected based on the market values at the time of redemption. The notice period for redemption is specified in the Terms and Conditions.
Counterparty Risk	The Issuer relies on certain key parties for the performance of certain functions under the Notes (see "Overview of the Notes". To the extent that such parties fail to adequately perform their obligations or enter into financial difficulties, the value of the Notes may be adversely impacted.
Principal Protection	The Issuer has deposited an amount intended to return 100% principal protection at the Maturity Date with the BlackRock ICS Sterling Liquidity Fund or the BlackRock ICS Sterling Liquid Environmentally Aware Fund or, in the event that the Issuer is unable to invest in either of those funds, an equivalent rated fund selected by the Issuer (both funds currently rated AAAm). There is no guarantee that at the Maturity Date, such funds will have sufficient funds to repay the principal of the outstanding Notes in full. Noteholders will have to determine or take appropriate professional advice as to the quality of the credit risk associated with such funds as part of any investment decision. **Past performance is no guarantee of future returns.**

DESCRIPTION OF THE ISSUER

General

Sustainable Capital PLC (the "**Issuer**") was incorporated in England and Wales (registered number 12423459) on 24 January 2020 as a public limited company under the Companies Act 2006. The Issuer's registered office is Ground Floor, 45 Pall Mall, London, United Kingdom, SW1Y 5JG. The legislation under which the Issuer operates is the Companies Act 2006.

The Issuer's Legal Entity Identifier Code ("**LEI**") is 213800QDQENHPB1SNU20.

Principal Activities

The Issuer's objects and purposes are unrestricted. The Issuer is a special purpose company and was established to raise money for the purposes set out in this Listing Particulars, to enter into the transactions set out herein and to issue secured securities.

There are no recent events particular to the Issuer which are to a material extent relevant to the evaluation of the Issuer's solvency.

Directors and Secretary

The directors and secretary of the Issuer and their other principal activities are:

Name	**Position in the Issuer**
David Raymond Davies	Director
Kevin Richard Haines	Director
Roger Daniel Lunn Johnson	Director
Truva Corporate Administration Limited	Company Secretary

There are no potential conflicts of interest between the private interests or other duties to third parties of the directors of the Issuer and their duties to the Issuer.

Corporate Governance

The Issuer will adopt corporate governance policies which comply with the Combined Code and the Model Code on Directors' Dealings. The Issuer is committed to the principles of corporate governance contained in the UK Corporate Governance Code issued by the Financial Reporting Council in May 2010 and which is publicly available on their website at www.frc.org.

Financial Information

The Issuer has published financial statements for the period to 31 March 2023. The Issuer intends to publish its audited financial statements (including auditor's report) in respect of the period ending on 31 March 2024 on or about 30 September 2024. The financial year of the Issuer ends on 31 March in each year. There is no intention to accumulate any surplus in the Issuer.

Reports and accounts published by the Issuer will, when published, be available for inspection during normal office hours at its business address set out above or upon request made to such office.

The Issuer has appointed Hillier Hopkins LLP, (Company number OC303707) of 45 Pall Mall, London SW1Y 5JG as its auditors. Hillier Hopkins LLP is a member of the Institute of Chartered Accountants in England and Wales.

Conflict of Interest

The Directors hereby confirm that there are no current conflicts of interest in respect of the Issuer or the issuance, and they are not aware of any potential conflicts of interest that will arise in the future. None of the Directors of the Issuer have an interest (beneficial or otherwise) in any existing Notes.

DESCRIPTION OF THE OBLIGOR

General

XTCC Holdings OÜ (the "**Obligor**") was incorporated in Estonia (registry code 16825918) on 24 January 2020. The Obligor's registered office is Address is Harju maakond, Tallinn, Kesklinna linnaosa, Vana-Lõuna tn 39-37, 10134.

Principal Activities

The Obligor is a special purpose vehicle which is used solely to hold high quality carbon credits and make associated payments on behalf of the Issuer. The Obligor was established solely for the purpose of entering into the XTCC series of transactions on behalf of the Issuer and has no employees. There are no recent events particular to the Obligor which are to a material extent relevant to the evaluation of the Obligor's solvency. There are no potential conflicts of interest between the private interests or other duties to third parties of the directors of the Obligor and their duties to the Obligor.

Financial Information

Reports and accounts published by the Obligor will, when published, be available for inspection during normal office hours at its business address set out above or upon request made to such office.

[PRICING SUPPLEMENT]

[TERMS AND CONDITIONS OF THE NOTES]

SUBSCRIPTION AND SALE

The subscription and sale of Notes is subject in all respects to the Restricted Marketing provisions of the BSX.

All Notes will initially be sold to a settlement agent (the "**Settlement Agent**") and may be resold at prevailing market prices, or at prices related thereto, at the time of such resale, as determined by the Settlement Agent. Potential investors in the Notes must apply directly to the Settlement Agent through a broker or other custodian or intermediary via the appropriate clearing system (see the section "*Book-Entry Clearing Systems*"). Applications may not be made directly to the Issuer. Details of the Settlement Agent are set out in the applicable Pricing Supplement.

Notes may be offered for sale from time to time by any entity appointed as a Distributor (each a "**Distributor**") and listed as such in the applicable Pricing Supplement.

The Issuer has the power to appoint additional Distributor from time to time, provided the Issuer makes a Regulatory News Services announcement on the London Stock Exchange.

United States of America: Regulation S Category; TEFRA D or TEFRA C as specified in the relevant Pricing Supplement or neither if TEFRA is specified as not applicable in the relevant Pricing Supplement.

The Notes have not been and will not be registered under the Securities Act and may not be offered or sold within the United States or to, or for the account or benefit of, U.S. Persons except in certain transactions exempt from the registration requirements of the Securities Act. Terms used in this paragraph have the meanings given to them by Regulation S.

Each Distributor and Settlement Agent has agreed that it will not offer, sell or deliver Notes (i) as part of their distribution at any time or (ii) otherwise until 40 days after the completion of the distribution of the Notes comprising the relevant Tranche, as certified to the Paying Agent or the Issuer by such Distributor or the Settlement Agent (or, in the case of a sale of a Tranche of Notes to or through more than one Distributor, by each of such Distributor as to the Notes of such Tranche offered by or through it, in which case the Paying Agent or the Issuer shall notify each such Distributor when all such Distributor have so certified) within the United States or to, or for the account or benefit of, U.S. Persons, and the Settlement Agent or such Distributor will have sent to each entity to which it sells Notes during the distribution compliance period relating thereto a confirmation or other notice setting forth the restrictions on offers and sales of the Notes within the United States or to, or for the account or benefit of, U.S. Persons.

In addition, until 40 days after the commencement of the offering of Notes comprising any Tranche, any offer or sale of Notes within the United States by any entity (whether or not participating in the offering) may violate the registration requirements of the Securities Act.

PARTIES

ISSUER

Sustainable Capital PLC
Ground Floor
45 Pall Mall
London, SW1Y 5JG

TRUSTEE

Truva Trust Corporation PLC
Third Floor
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London WC2E 9ED

PAYING AGENT

ISP Securities LTD
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8008 Zurich, Switzerland

SERVICER AND CALCULATION AGENT

Bedford Row Capital PLC
63/66 Hatton Garden, Fifth Floor Suite 23
London, England, EC1N 8LE

AUDITORS

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45 Pall Mall
London, SW1Y 5JG